

Prompt 3: read the footnotes

The Home Depot, annual report for the year ended 1 February 2026. Prompt version 2.15, run 4 October 2026. Test output: a real company used for testing only.

Pages are the [p. N] markers in the latest annual report. Pre-tax income was \$18,602 million.

1. Policy profile

Area	What the report says	Where it sits	Why
Revenue recognition	"at the time the customer takes possession of merchandise" (p. 52)	Typical	Point of sale, net of returns; the \$1.5bn and \$1.1bn of deferred revenue tie to the \$2,575m balance; the returns liability has no amount
Reserves and allowances	Receivables allowance "was not material" (p. 48); self-insurance at "expected ultimate cost for claims incurred (undiscounted)" (p. 52)	Can't tell	Self-insurance of \$1.6bn (8.6% of pre-tax income) is undiscounted, which is cautious, but no reserve shows its movements
Capitalized costs and useful lives	Intangible lives "range up to approximately 20 years" (p. 51)	Leans aggressive	Customer lists run 19.4 years straight-line; buildings and equipment imply 13.5 years, which is ordinary
Impairment and goodwill	Acquired units' fair value "exceeded its respective carrying amount, including goodwill" (p. 60)	Leans aggressive	\$13,780m of goodwill with no room stated; rests on thin disclosure
Off the balance sheet	"no material off-balance sheet arrangements" (p. 37)	Typical	Leases are on the balance sheet; supplier finance is \$414m (3.6% of payables) and 38 days payable sits inside the stated 30 to 60 days
Related parties	No note and no statement either way	Can't tell	Not in the documents
Contingencies and legal	"not expected to have a material adverse effect" (p. 73)	Typical	Standard wording with no accrual or range; rests on general practice
Auditor's report and controls	"present fairly, in all material respects" (p. 41); "Management excluded GMS" (p. 77)	Typical	Clean opinions, no material weakness; one critical audit matter, on inventory systems
Adjusted (non-GAAP) measures	ROIC on "long-term debt (including current installments) and equity" (p. 35)	Leans aggressive	The only such measure; its capital base leaves out \$4,464m of commercial paper

2. Full write-ups

Impairment and goodwill: the room on \$13.8bn of acquired goodwill is not shown

- **The report says:** the older retail units "substantially exceeded" carrying amount, but the acquired distribution units only "exceeded its respective carrying amount, including goodwill" (Note 4, p. 60).
- **Test:** no margin is given to test. The acquired businesses earned \$316m of operating income on \$23,109m paid for them, 1.4% (3.1% before intangible amortization), with the second acquisition owned for five months. Size: \$13,780m, 74% of pre-tax income, a balance-sheet amount.
- **Reading:** can't tell; the weaker wording and the low current return possibly mean thin room. A stated margin well above carrying amount would point to ordinary.
- **Read next:** the percentage excess per reporting unit and the discount and growth rates used; goodwill is not among the critical accounting estimates (p. 38).

Useful lives: customer lists spread evenly over about 20 years

- **The report says:** straight-line "as this approximates the pattern of expected economic benefit" (Note 1, p. 51), while the same assets are valued on "expected customer attrition rates" (p. 38).
- **Test:** the year's charge of \$500m on average cost of \$9,681m implies 19.4 years, so the 20-year claim holds; 67% of remaining amortization falls after five years. At 15 years the charge would be \$145m higher (0.8% of pre-tax income). Size: \$8,982m net, 48% of pre-tax income, a balance-sheet amount.

- **Reading:** most likely the reporting stretched a little, since a list that loses customers each year gives more benefit early than late; this rests on general practice. Disclosed attrition low enough to fit an even 20-year pattern would point to ordinary.
- **Read next:** the attrition rates assumed in the valuations (Note 13, pp. 74 and 76).

Non-GAAP: ROIC leaves out the commercial paper that replaced notes

- **The report says:** ROIC uses "long-term debt (including current installments) and equity" (p. 35), and commercial paper funded "the repayment of senior note maturities" (p. 36).
- **Test:** the reported 25.7% is reproduced. Long-term debt fell \$1,759m while commercial paper rose \$4,148m; counting commercial paper gives 24.7%, and the fall from last year becomes 6.5 points, not 5.6. Size: \$4,464m, 24% of pre-tax income, a balance-sheet amount.
- **Reading:** possibly the reporting stretched: moving borrowing into commercial paper shrinks the capital base of a measure that share awards pay on ("target average ROIC and operating profit", p. 71). A definition unchanged from earlier years would point to ordinary.
- **Read next:** last year's definition, and the proxy statement's ROIC targets.

3. Also noted

- Depreciation in the cash flow statement (\$3,514m, p. 47) is \$62m above the depreciation note (\$3,452m, p. 58); the gap is unexplained.
- A "non-recurring legal-related benefit" in the prior year is given no amount (p. 34); retail-segment SG&A rose 3.8% while retail-segment sales fell 0.7% against a 53-week year.
- The controls opinions leave out GMS, put at "approximately 3%" of assets excluding goodwill and intangibles (p. 77); its acquisition-date assets work out to 3.8%.
- Store credit card receivables are owned by third parties that "should not be consolidated", with an option to buy them in 2028; no amount is given (p. 52).

4. Not in the documents: related-party disclosures, Schedule II and the proxy statement are not included, and the report carries no adjusted earnings measure.

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.